

Global Software - European Technology / Software

European Software and Services: The AI tide won't lift all boats



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AI is forcing a structural reset across European software and IT services. This note synthesizes our H1 research, showing AI is already reshaping business models, pricing and margins, not just productivity. Our proprietary frameworks (AI leverage scorecards, disruption mapping, platform positioning) provide a consistent lens on winners vs losers. We reiterate ratings, but incrementally raise conviction in platform-led software and "Services-as-Software" leaders, and bring forward the timeline for meaningful differentiation and dispersion.

AI is shifting software from applications to control planes, driving monetization dispersion. The core shift is from "systems of record" to AI-enabled "systems of action," where value accrues to platforms embedding AI into workflows. Differentiation is now economic - ARPU uplift, retention and pricing power tied to automation - rather than feature breadth. The bull case is margin expansion through productivity and bundling; the bear case is AI commoditization before pricing catches up. Cloud remains a stabilizer, but AI execution now defines growth and returns.

AI is transforming services from labor arbitrage to "Services-as-Software." Enterprise behavior is pivoting faster than expected, with c.60% of clients planning to replace people-led delivery by 2028. This drives a shift from time-and-materials to outcome-based, AI-enabled models - expanding TAM while compressing legacy revenue pools. This is structural, not cyclical. Winners combine consulting, AI and proprietary IP to deliver scalable, recurring services; laggards remain exposed to labor-heavy delivery and rising pricing pressure.

AI impact is bifurcated - driven by segment economics, not company labels. Our disruption framework (automatability vs defensibility) shows outcomes depend on revenue mix. High-defensibility platforms (ERP, databases, embedded workflows) remain resilient and monetize AI as a layer. High-automatability segments (analytics, BPS, application development) face structural pricing pressure. AI is rarely existential - it reallocates value across the stack - driving widening dispersion between "AI transformers" and low-moat models.

Stock views reflect this dispersion, reinforcing selective conviction. We remain Outperform on platform-led software (SAP, Dassault Systèmes) and AI-enabled services leaders (Capgemini, Indra), where monetization, demand visibility and margin trajectories are strongest. Indra remains a Best Idea, with AI, defense and space accelerating re-rating potential. Capgemini screens as a high-conviction "AI transformer" despite near-term noise. We stay cautious on labor-led models, where pricing pressure may outpace cost adaptation. Valuations do not yet fully reflect this gap.

Bottom line: AI is a stock-picking regime, not a sector uplift. We reiterate ratings but sharpen our stance: own platforms and IP-led services that capture AI economics through pricing, data control and scalability. Conviction increases in early "AI compounders" and Services-as-Software leaders, while risks rise for low-defensibility models. The timeline for differentiation is compressing - execution on AI monetization is now the key driver of relative performance.

BERNSTEIN TICKER TABLE

Ticker	Rating	5 Jun 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
74SW.FP (74Software)	O	EUR	37.70	55.00	(16.0)%	EUR	2.25	2.84	3.43	12.8	11.6	10.3
ATE.FP (Alten)	O	EUR	64.35	135.00	(25.5)%	EUR	4.91	7.07	7.72	6.4	6.0	5.6
ARCAD.NA (Arcadis)	O	EUR	35.36	48.00	(34.0)%	EUR	2.67	2.64	3.27	13.2	13.4	10.8
ATO.FP (Atos)	U	EUR	37.52	43.00	(13.1)%	EUR	(50.11)	(1.73)	3.25	(7.7)	8.0	5.9
AUB.FP (Aubay)	O	EUR	55.90	66.00	0.6%	EUR	3.06	3.57	3.76	13.4	11.3	10.7
CAP.FP (Capgemini)	O	EUR	101.80	208.00	(44.5)%	EUR	12.86	13.00	13.95	7.9	7.8	7.3
GIB/A.CN (CGI)	U	CAD	93.83	141.00	(59.9)%	CAD	8.28	8.82	9.72	11.3	10.6	9.6
DSY.FP (Dassault Systèmes)	O	EUR	19.72	29.00	(51.5)%	EUR	1.31	1.34	1.41	12.1	11.7	11.0
IDR.SM (Indra)	O	EUR	55.44	69.00	51.2%	EUR	2.48	2.54	3.15	22.3	21.8	17.6
NEM.GR (Nemetschek)	M	EUR	64.20	104.00	(63.6)%	EUR	1.88	2.26	2.75	34.1	28.4	23.3
OVH.FP (OVHcloud)	O	EUR	16.55	13.00	0.9%	EUR	(0.01)	0.20	0.39	8.5	8.0	7.2
REY.IM (Reply)	M	EUR	104.60	120.00	(43.4)%	EUR	7.13	7.71	8.13	9.2	8.4	7.9
SGE.LN (Sage)	M	GBp	870.00	1,050.00	(43.5)%	GBP	0.44	0.50	0.57	19.7	17.5	15.2
SAP.GR (SAP)	O	EUR	160.82	276.00	(53.7)%	EUR	6.10	7.54	9.02	26.3	21.3	17.8
SAP (SAP)	O	USD	184.77	323.00	(63.8)%	EUR	6.10	7.54	9.02	26.3	21.3	17.8
SOP.FP (Sopra Steria)	O	EUR	150.10	242.00	(34.5)%	EUR	16.47	16.87	18.84	7.9	7.7	7.0
TMV.GR (TeamViewer)	M	EUR	5.93	7.60	(56.1)%	EUR	0.89	0.99	1.06	6.6	6.0	5.6
WLN.FP (Worldline)	M	EUR	0.30	0.35	(90.1)%	EUR	(5.54)	0.02	0.05	4.9	5.8	5.3
MSFT (Microsoft)	O	USD	416.67	646.00	(34.8)%	USD	13.64	16.85	19.16	30.5	24.7	21.8
ORCL (Oracle)	O	USD	213.68	319.00	(0.6)%	USD	6.03	7.50	8.70	35.4	28.5	24.6
WDAY (Workday)	O	USD	144.28	216.00	(66.3)%	USD	9.23	11.15	13.95	15.6	12.9	10.3
EDME			1,542.17									
SPX			7,405.73									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

74SW.FP, ATE.FP, ATO.FP, AUB.FP, DSY.FP, REY.IM, SOP.FP valuation is EV/Adj EBIT (x); OVH.FP valuation is EV/Adj EBITDA (x); WLN.FP valuation is EV/EBITDA (x); WDAY base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We reiterate our ratings and price targets.

Outperform:

74Software (PT €55) | Alten (PT €135) | Arcadis (PT €48) | Aubay (PT €66) | Capgemini (PT €208) | Dassault Systèmes (PT €29) | Indra (PT €69) | Microsoft (PT \$646) | Oracle (PT \$319) | OVHcloud (PT €13) | SAP (PT €276 / \$323) | Sopra Steria (PT €242) | Workday (PT \$216)

Market-Perform:

Nemetschek (PT €104) | Reply (PT €120) | Sage (1,050p) | TeamViewer (PT €7.6) | Worldline (PT €0.35)

Underperform:

Atos (PT €43) | CGI (PT C\$141)

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- [IT Services: The irresistible rise of Services-as-Software](#)
- [Disrupted or supercharged? Mapping AI risks in Services and Software](#) and [AI disruption radar - Want to try it yourself?](#)
- [Forward Deployed Engineering \(FDE\): Where AI software meets the real world](#) and [Forward Deployed Engineering: Force Multiplier - or False Comfort - for enterprise AI](#)
- [Artificial Intelligence... Sooner or Later: AI is already here - The structural reset of IT Services & Software](#)
- [When Anthropic and OpenAI Meet IT Services](#)
- [European IT Services: EU Tech Sovereignty - Regulation creates demand, but only the right models win](#)

GLOBAL SOFTWARE: MID-MARKET ERP AT THE AI INFLECTION POINT

AI is redefining mid-market ERP economics, shifting the sector from a cloud-driven upgrade cycle to an execution-driven AI investment debate. Investors should engage as valuation dispersion is set to widen meaningfully, with the market still largely pricing ERP as a steady SaaS compounder rather than an AI execution story. Our incremental analysis introduces a proprietary AI leverage scorecard and vendor-level positioning framework, highlighting where AI is already driving growth, margins, and cash flow versus where benefits remain theoretical. We reiterate ratings (Outperform: Microsoft, Oracle, SAP, Workday; Market-Perform: Sage) and see conviction strengthening around early AI compounders, extending the importance of stock selection over sector exposure.

AI is emerging as the primary driver of differentiation - and dispersion - across ERP. The report's core incremental insight is that ERP is moving from "systems of record" to "systems of action," with AI-enabled workflows becoming the key value layer. Penetration of AI-enabled ERP is expected to approach c.90% by 2030, but early copilots are already commoditized; differentiation is shifting toward agentic, autonomous workflows that automate finance, supply chain, and HR end-to-end. The implication is a widening gap between vendors that embed AI deeply into workflows (capturing ARPU uplift and retention) and those deploying surface-level features with limited monetization.

AI economics will determine whether margins expand or compress. The central debate is the shape of the AI ROI curve relative to the cost curve. In the bull case, AI lowers cost-to-serve, shortens implementation cycles, and supports premium bundling, driving operating leverage and higher free cash flow conversion. In the bear case, AI becomes table stakes before pricing catches up, forcing vendors to absorb elevated R&D and compute costs with limited revenue upside. Our analysis suggests margin dispersion will widen structurally, as scale players benefit from hyperscaler economics while sub-scale vendors risk margin dilution.

Cloud has shifted from growth catalyst to stabilizer, raising the bar for AI. While mid-market ERP spending remains attractive (c.13% CAGR through 2030), cloud migration no longer provides meaningful upside; remaining workloads are complex and services-heavy. Incrementally, this implies the next leg of growth and margin expansion must come from AI-driven productivity and monetization—not migration volumes. This reframes ERP from a secular SaaS growth story into an execution story on AI deployment, pricing discipline, and time-to-value.

Competitive dynamics are bifurcating between scaled platforms and focused specialists. Our AI scorecard highlights that large platforms (Microsoft, Oracle, SAP, Workday) benefit from unified data, R&D scale, and ecosystem advantages, strengthening cross-sell and lock-in. However, specialists (e.g., Sage, Visma, Infor) retain defensible niches where domain-specific AI delivers faster ROI. The market is likely to reward both ends, while undifferentiated generalists face pressure as AI investment requirements rise.

This is now a stock-picking market with clear leaders and laggards. We see Microsoft and Oracle as "sooner" AI compounders already translating AI into ARPU and margin benefits; SAP and Workday remain execution-dependent; and Sage offers a more defensive AI-enhanced earnings profile. Our overall conclusion is that AI will not lift all boats - returns will accrue to vendors that convert AI capability into sustainable pricing power and operating leverage, reinforcing selective positioning and conviction in AI leaders.

GLOBAL SOFTWARE: THE COMING AI SUPERCYCLE IN SUPPLY CHAIN SOFTWARE

Supply chain software is entering a structural AI-driven supercycle, and we reiterate Outperform ratings across key beneficiaries (SAP, Oracle, Capgemini, Microsoft) as this report frames why the market is underestimating the durability and scale of growth. Consensus largely sees SCM as a steady modernization theme; we argue it is a full-stack reinvention, with AI acting as a new operating system. Incrementally, we combine proprietary market sizing (\$217bn cumulative 2026-29 opportunity) with adoption curves (AI-enabled spend rising toward c.80% by 2030) to support a stronger, longer investment runway and reinforce conviction in platform leaders.

AI is transforming SCM from decision-support to autonomous execution, materially expanding ROI and spend intensity.

The report's core incremental insight is that AI is not a feature but a system-wide shift, embedding across forecasting, inventory, logistics, and procurement. Real-time data ingestion (macro, weather, logistics signals) enables dynamic optimization of supply chains, delivering tangible financial benefits - lower working capital, fewer disruptions, and higher service levels. This drives unusually high ROI (25–30%), positioning SCM as one of the most economically attractive enterprise software categories. Crucially, AI strengthens - not disrupts - incumbent moats due to deep integration and switching costs.

The market opportunity is larger, faster-growing, and more structurally supported than consensus assumes. SCM software is expected to double from \$33bn in 2024 to \$66bn by 2029 (c.15% CAGR), with c.\$217bn cumulative revenue over 2026-29. Growth is supported by multiple structural drivers: geopolitical supply chain redesign, resilience-first strategies, ESG compliance, and rising customer expectations. Beyond this, AI-enabled SCM is projected to grow c.46% annually through 2030, implying a rapid shift in mix rather than incremental upsell. This combination of volume growth and mix uplift is underappreciated in current expectations.

Cloud migration and pricing innovation create a second monetization leg - but introduce near-term volatility. SaaS SCM is growing c.23% annually, driving cloud penetration from 52% (2024) to 74% (2029), representing one of the largest remaining enterprise upgrade cycles. Simultaneously, outcome-based pricing (e.g., linking fees to savings or service improvements) expands the addressable market and accelerates AI monetization. However, this introduces revenue variability and margin pressure during transition, as vendors invest in measurement, customer success, and AI infrastructure. Over time, hybrid pricing models should stabilize revenues while increasing lifetime value and retention.

Market structure favors scaled platforms, with consolidation upside reinforcing leadership. Despite fragmentation (top 3 at c.38% share), the market is moving toward end-to-end platforms, supported by M&A and integration demand. SAP stands out with c.25% share and structural advantages from ERP integration and S/4 migration; Oracle offers underappreciated upside via Fusion integration and data architecture; services players - especially Capgemini - capture a disproportionate share of transformation spend and influence vendor selection.

We reiterate Outperform ratings, with AI-driven SCM strengthening conviction in a multi-year structural growth thesis.

The combination of AI adoption, cloud migration, and platform consolidation supports sustained double-digit growth, high ROI, and durable competitive advantages. Near-term risks (margin pressure, adoption variability) are outweighed by long-term monetization potential, extending both visibility and conviction in key sector leaders.

IT SERVICES: THE IRRESISTIBLE RISE OF SERVICES-AS-SOFTWARE

Services-as-Software is emerging as the next structural disruption in IT services, and this report frames why investors should reassess medium-term growth and margin trajectories across the sector. While consensus still anchors on cyclical recovery and incremental GenAI productivity, our analysis highlights a deeper shift toward outcome-based, AI-delivered services - supported by proprietary survey data showing 60% of enterprises planning to replace people-led services by 2028. We reiterate our ratings, with conviction strengthened on structurally advantaged players (e.g., Capgemini), as the timeline for business model disruption appears earlier and more material than the market expects.

Enterprise behavior is already pivoting toward outcome-based, AI-driven delivery. Industry survey data show c.60% of enterprises plan to replace people-run services with software-led alternatives by 2028, implying a structural - not cyclical - shift in demand. This is reinforced by rising contract renegotiations and GenAI-driven productivity gains, which are exposing the mismatch between traditional billing models (time-and-materials) and actual delivery economics. The implication is clear: pricing frameworks will migrate toward outcomes, compressing legacy services revenue pools while rewarding scalable, software-embedded offerings. This transition is happening faster than consensus anticipates, as clients actively seek to capture AI-driven efficiency gains.

Services-as-Software represents a large and rapidly scaling TAM with meaningful mix implications. Estimates suggest the market could expand from sub-\$100bn today to \$600-700bn by 2028, and up to \$1.5tn longer term. Crucially, this growth will cannibalize both traditional IT services and SaaS budgets, reshaping IT spending allocation: Services-as-Software could reach c.20% of budgets versus c.0% today, while legacy services decline sharply. This supports a re-rating framework for companies successfully pivoting, as revenue streams become more recurring, scalable, and software-like - versus labor-constrained and cyclical.

The financial model reset is material: faster growth and structurally higher margins. Services-as-Software combines software scalability with outcome-based pricing, enabling >30% growth on a small base and potentially adding 5-10pp to blended growth as adoption scales. Margin upside is equally significant: gross margins could reach 65-70% and operating margins 15-25%, versus 25-30% and 5-15% for traditional services. This reflects lower marginal costs, reduced reliance on headcount, and improved pricing power tied to delivered outcomes. However, this comes alongside upfront investment, execution complexity, and risk of pricing pressure during transition.

The shift will disrupt labor models and accelerate in-sourcing, reinforcing competitive divergence. AI-driven efficiency is triggering workforce restructuring, increasing in-house delivery ("AI-shoring"), and challenging offshore-centric models. At the same time, regulatory developments (e.g., US outsourcing constraints) may further pressure traditional delivery models. Providers must combine consulting, vertical expertise, AI capabilities, and proprietary IP to remain relevant - raising barriers to entry and favoring scaled, well-invested players. Companies unable to adapt risk structural decline, particularly in labor-intensive segments like business process outsourcing.

We maintain our ratings, with stronger conviction on structural winners. The transition to Services-as-Software reinforces our positive stance on companies best positioned to capture outcome-based, AI-driven demand (notably Capgemini), while increasing medium-term risks for laggards. The key investment debate shifts from cyclical recovery to structural positioning - accelerating the timeline for differentiation and supporting a more selective approach across the sector.

DISRUPTED OR SUPERCHARGED? MAPPING AI RISKS IN SERVICES AND SOFTWARE AND AI DISRUPTION RADAR - WANT TO TRY IT YOURSELF?

AI is unlikely to be an existential disruptor for European software and services - but it will sharply reshape value pools and relative winners. This report updates and operationalizes our AI disruption framework, responding to investor demand for a more transparent, scenario-testable methodology. While consensus increasingly prices in broad disruption risks, our analysis is more nuanced and often counter-consensus at the segment level. Our incremental contribution is a proprietary, revenue-weighted scoring model (automatability vs. defensibility) applied consistently across companies, with granular segment inputs. We reiterate ratings; the framework modestly strengthens conviction in high-moat "AI transformers" and "resilient compounders," while reinforcing caution on low-defensibility exposure.

The key insight is that AI impact is bifurcated by segment economics - not company labels. Our framework shows disruption risk is driven by two variables: how automatable core work is, and how defensible the product or relationship remains. High-automatability segments such as analytics, application development, and business process services face clear pressure, particularly where switching costs are low. By contrast, systems of record (ERP, databases) and deeply embedded workflows retain strong defensibility, limiting displacement risk. The rationale is structural: proprietary data, regulatory constraints, and integration complexity anchor incumbents, meaning AI is more likely to layer onto existing platforms than replace them outright.

Revenue mix is the critical differentiator at the company level. By mapping segment exposure to company revenues (using Gartner data), we show why firms like SAP, Dassault Systèmes, and Nemetschek screen as relatively resilient: their exposure is concentrated in high-defensibility, lower-risk segments where AI enhances rather than disrupts value. SAP is emblematic - ERP and supply chain form a deeply embedded base, with AI positioned as a monetization lever (workflow automation, analytics) rather than a threat. Conversely, vendors with greater exposure to front-end, easily replicable functionality (e.g., analytics layers or commoditized tools) face higher structural risk, particularly if AI-native competitors bypass legacy interfaces.

In services, AI disrupts delivery models far more than client relationships. Most services segments rank high on automatability, but defensibility varies: application and infrastructure services remain sticky due to contracts, complexity, and embedded knowledge, while business process services are the most exposed given standardization and low switching costs. This creates a clear divide: "AI transformers" such as Capgemini face margin pressure but can offset it by industrializing AI at scale; high-end consulting and engineering firms (e.g., Alten, Reply) benefit from lower automatability and stronger expertise moats. The strategic imperative is rapid transition toward "services-as-software," where value shifts from labor to IP and platforms.

Scenario flexibility is a feature, not a bug - and a source of differentiation. Unlike static industry views, our model allows investors to flex key assumptions (automatability, defensibility) and directly observe valuation implications. While inherently judgment-driven, anchoring scores to segment-level economics and revenue weights adds discipline and comparability. Importantly, the framework highlights that execution on AI (e.g., embedding copilots, scaling use cases) is now a primary driver of dispersion within otherwise similar business models - reinforcing the need to underwrite company-specific AI strategies, not just sector exposure.

Bottom line: we stay constructive on high-moat platforms and selective services leaders. Ratings are unchanged, but conviction increases in companies positioned as "AI transformers" with defensible cores, where AI is a growth and margin enhancer rather than a disruptor. Conversely, we remain cautious on businesses with high exposure to commoditized, automatable tasks and limited switching costs, where pricing pressure and share loss risks are highest over the medium term.

FORWARD DEPLOYED ENGINEERING (FDE): WHERE AI SOFTWARE MEETS THE REAL WORLD AND FORWARD DEPLOYED ENGINEERING: FORCE MULTIPLIER - OR FALSE COMFORT - FOR ENTERPRISE AI

Forward Deployed Engineering (FDE) is becoming the default execution layer for enterprise AI - but we argue the market is over-interpreting it as proof of scalable software economics. This report matters because rising FDE investment is widely seen as evidence of AI traction, whereas we show it is equally a signal of platform immaturity and execution risk. Drawing on investor discussions and field feedback on deployment costs and failure patterns, we highlight that FDE is a force multiplier - not a silver bullet. We reiterate ratings, but our analysis sharpens differentiation: conviction increases on vendors that demonstrably reduce FDE intensity over time, and weakens where FDE scales linearly with ARR.

FDE growth signals both traction and immaturity - not just demand. The prevailing narrative treats expanding FDE teams as confirmation of strong AI adoption. Our work challenges that view: while embedded engineers accelerate time-to-value and unlock early monetization, they also reveal the lack of plug-and-play scalability in enterprise AI. The key analytical lens is whether FDE effort per customer declines as platforms mature. Bull case: FDE acts as a bootstrapping mechanism, converting bespoke work into reusable product modules, enabling operating leverage. Bear case: headcount scales with revenue, implying a services-heavy model with structurally lower margins. For investors, this dynamic is the single most important underwriting variable.

FDE compresses risk timelines rather than eliminating risk. A critical insight from field work is that FDE does not “solve” deployment risk - it accelerates its manifestation. Strong organizations convert this intensity into faster learning cycles and scalable systems. Weak organizations experience cost inflation, stalled deployments, and dependency. Failure modes are rarely technical (e.g., model accuracy), but structural: mis-scoped use cases, lack of executive ownership, poor data quality, or governance bottlenecks. This reframes AI risk from a technology problem to an organizational one, with direct implications for durability of spend and expansion potential.

Persistent FDE reliance creates hidden customer fragility and long-term churn risk. Beyond margins, we highlight a less-discussed issue: internal capability erosion. Heavy reliance on vendor engineers leads to loss of architectural ownership, weaker internal talent retention, and growing dependency. While this can increase short-term stickiness (bull case), it also raises medium-term risks of spending caps, partner substitution, or re-platforming (bear case). Investors should therefore treat flat or rising FDE intensity in mature accounts as a warning signal of consulting-like dependency rather than deep competitive moat.

FDE economics hinge on productization velocity and governance architecture. The model only scales if learnings are systematically converted into product features, templates, and partner-deliverable playbooks. In parallel, agentic AI increases the importance of governance, auditability, and ownership frameworks - areas where FDE plays a critical enforcement role but cannot compensate for weak organizational design. A credible bull case requires both declining marginal effort and clear separation between reusable “commodity IP” and customer-specific differentiation. Without this, the model drifts toward bespoke delivery and capped operating leverage.

Investment conclusion: favor platforms that use FDE as a transient scaffold. We reiterate our ratings, but sharpen our framework: winners will use FDE to compress learning cycles and then scale via product and ecosystem leverage; laggards will remain trapped in services-like models. Incrementally, our conviction strengthens where management can evidence declining FDE intensity, rising reuse, and partner-led delivery - and weakens where FDE growth is presented as an end-state rather than a transition.

ARTIFICIAL INTELLIGENCE... SOONER OR LATER: AI IS ALREADY HERE - THE STRUCTURAL RESET OF IT SERVICES & SOFTWARE

AI is already driving a structural reset in IT services and software, but the market is underestimating both the pace and the dispersion of outcomes. This report matters as investors debate “sooner vs later” AI impact; we are firmly in the “sooner” camp, arguing AI is not incremental but re-architecting business models, pricing, and margins today. Our incremental analysis introduces a proprietary AI leverage scorecard and industry feedback on monetization, showing winners will capture productivity through pricing and IP, while laggards face commoditization. We reiterate ratings, but incrementally strengthen conviction in platform-led software and IP-driven services while becoming more selective on labor-centric models.

AI is shifting software from applications to enterprise control planes. The key structural change is the transition from feature-centric applications to AI-driven workflow orchestration embedded in systems of record (ERP, HR, supply chain). Growth increasingly comes from installed-base expansion - via AI agents, premium bundles, and consumption pricing - rather than new logos. The bull case is clear: AI drives ARPU uplift, higher retention, and structurally higher margins once monetization shifts from “AI included” to “AI priced.” The bear case centers on execution risk: failure to price AI or control compute costs risks margin dilution and value leakage to hyperscalers.

AI is transforming services from labor economics to “Services-as-Software.” AI does not eliminate services demand; it reprices it. Delivery models evolve toward agent-driven, platform-led, outcome-based offerings, compressing the delivery pyramid while expanding deal scope. The bull case is margin expansion via retained productivity and IP-led differentiation. The bear case is structural commoditization: if productivity gains are fully rebated, services revert to lower-margin, price-competitive models. This creates a widening gap between “AI operators” and traditional integrators, driving valuation dispersion rather than sector-wide uplift.

AI creates a dual revenue dynamic: deflation in effort, expansion in value. Automation reduces hours and compresses pricing in commoditized activities, but this is offset by new, higher-value AI-driven use cases - copilots, workflow automation, and data platforms. Industry feedback suggests productivity gains (c.7–8%) are typically reinvested into broader transformation programs, resulting in “more for the same budget.” The bull case is a sustained multi-year growth cycle driven by transformation demand and cross-sell. The bear case is mix dilution if companies fail to convert this demand into recurring, software-attached revenue.

Margins and cash flows follow an AI-driven J-curve. Near term, margins face pressure from R&D, compute, and reskilling, but over time expand as automation scales and high-margin AI revenues grow. Gross margins benefit first from productivity, followed by operating leverage as SG&A is automated. Cash flow improves structurally as recurring, outcome-based models and consumption pricing increase visibility and reduce working capital intensity. The key execution variable is whether firms retain productivity gains or pass them through to clients.

Investment conclusion: AI increases dispersion - own platforms and IP, avoid commoditized delivery. We reiterate ratings but sharpen our framework: software vendors controlling data and workflow orchestration, and services firms monetizing AI through platforms and outcomes, are structurally advantaged. Conversely, labor-led models face margin pressure and weaker valuation support. Incrementally, our conviction strengthens on AI control-plane software and IP-led services, with a longer-term horizon as monetization and margin expansion fully materialize.

WHEN ANTHROPIC AND OPENAI MEET IT SERVICES

Enterprise AI has already moved to production scale, but the market is underestimating how decisively model ecosystems - Anthropic vs OpenAI - will reshape IT services economics and competitive positioning. This report matters as consensus still frames AI as productivity uplift; we argue the real shift is control of delivery platforms and value pools. Our incremental analysis introduces a platform-centric lens on services providers' positioning and contrasts "endurance" (Anthropic) vs "dominance" (OpenAI). We reiterate ratings, but incrementally strengthen conviction on platform-led, multi-model operators and become more cautious on players lacking deep ecosystem leverage.

Anthropic vs OpenAI is becoming the defining strategic fault line in enterprise AI. Rather than interchangeable models, the two platforms represent distinct paths to value creation. Anthropic prioritizes "trusted AI" embedded in regulated, mission-critical workflows via services-led distribution, while OpenAI emphasizes scale, platform control, and hyperscaler-driven reach. The bull case is that both ecosystems expand the total AI opportunity; the bear case is that vendor concentration and execution risk increase. Critically, services providers must align their delivery model, client base, and IP around one - or both - strategies, making model choice a determinant of long-term positioning.

Services firms are reorganizing around AI as a delivery platform, not a tool. Across the sector, services providers are embedding Claude and GPT internally to compress delivery costs, then externalizing these capabilities into agentic, outcome-based offerings. Organizationally, this means dedicated AI business groups, large-scale reskilling, and a shift toward agent design and governance roles. The bull case is structural productivity gains and new revenue pools from platformized services; the bear case is near-term disruption, execution complexity, and the risk that productivity gains are competed away rather than monetized.

The business model is shifting from labor to Services-as-Software, with a three-phase financial profile. In the short term, heavy investment in training, platforms, and co-development is margin dilutive. Over the medium term, growth shifts toward higher-value transformation and agent-led services, with early operating leverage. Longer term, successful players generate recurring, outcome-linked revenues tied to proprietary platforms and agents, not headcount. The key debate is whether services providers can cannibalize legacy revenues fast enough to capture this upside before competition compresses returns.

Relative positioning reflects ecosystem choices, creating clear winners and laggards. Multi-model orchestrators (e.g., Accenture) appear best positioned, combining Anthropic depth and OpenAI scale. Platform-led players (e.g., Infosys) offer strong exposure to agentic workflows but face execution risk. OpenAI-anchored integrators (e.g., Capgemini) provide clean exposure to platform scaling but may need deeper "trusted AI" capabilities over time. The bull case is differentiated positioning and pricing power; the bear case is dependency on partners, delayed margin inflection, and uneven monetization.

Investment conclusion: own platform orchestrators and early platformizers; avoid undifferentiated exposure. We reiterate ratings but sharpen our framework: long-term winners will be providers that translate Anthropic/OpenAI partnerships into proprietary platforms, recurring revenues, and outcome pricing. Incrementally, this strengthens conviction in multi-model and platform-led strategies, while increasing selectivity on firms lacking clear ecosystem leverage or Services-as-Software execution.

Accenture and Infosys are not covered by Bernstein. Anthropic and OpenAI are private companies.

EUROPEAN IT SERVICES: EU TECH SOVEREIGNTY - REGULATION CREATES DEMAND, BUT ONLY THE RIGHT MODELS WIN

EU tech sovereignty is set to reshape European IT services demand - but not evenly, challenging the market's implicit assumption of broad-based upside. This report argues that while investors broadly expect regulation to drive incremental growth, the key insight - supported by our proprietary scoring framework and detailed exposure mapping - is that most of the value creation will be highly selective. Sovereignty creates a multi-year pipeline of non-discretionary projects, but also raises delivery complexity and cost. We reiterate ratings, with conviction shifting toward a stock-picking framework rather than a sector-wide call.

Regulation is creating a structural, non-discretionary demand pool. The EU tech sovereignty package forces public sector and regulated industries to re-platform IT architectures, localize data, and upgrade governance frameworks. This translates into a multi-year pipeline of sovereign cloud migrations, compliance projects, and infrastructure build-outs - core areas for IT services providers. Crucially, this demand is not cyclical but policy-driven, meaning projects are less discretionary and more resilient across macro conditions. The mix also shifts toward higher-value services (consulting, integration, managed services), supporting revenue visibility and reinforcing incumbency with governments and critical sectors.

However, demand converts unevenly due to exposure and capability differences. Our proprietary scoring framework highlights that upside is concentrated among firms with high EU public/regulated exposure, strong cloud/AI/security capabilities, and deep EU delivery footprints. Sopra Steria and Indra emerge as the clearest direct beneficiaries, with high exposure to sovereignty-relevant workloads, while Capgemini, CGI, and Reply offer more diversified, but diluted, leverage. The key incremental insight is that exposure (e.g., 70-80% revenues in regulated sectors for names like Indra/Aubay) and capability alignment - not just scale - determine how much of the demand tailwind converts into growth.

Execution risk is driven by structurally higher delivery complexity and cost inflation. Sovereignty requirements fragment delivery models, constrain hyperscaler usage, and increase reliance on EU-based talent, all of which raise costs. Compliance overhead, multi-vendor architectures, and country-level regulatory divergence further reduce standardization and productivity. While some of these costs can be passed through, competitive public tenders limit pricing power, creating a risk that incremental revenue becomes margin-dilutive. This dynamic is particularly acute for offshore-heavy or hyperscaler-dependent providers, where cost structures may reprice faster than revenue.

The outcome is a clear bull vs bear divergence across business models. The bull case is straightforward: sovereignty drives non-discretionary spend, increases complexity (and therefore value-add), raises barriers to entry, and strengthens strategic positioning for incumbents. The bear case is equally credible: sovereignty becomes compliance-heavy, fragmented, and cost-driven, crowding out higher-value digital initiatives and compressing margins. The key differentiator is execution - firms that can translate complexity into billable value outperform, while others risk being trapped in low-margin compliance work.

Bottom line: a durable growth theme, but fundamentally a stock-selection story. We reiterate ratings, but emphasize that EU tech sovereignty should not be viewed as a sector-wide re-rating. Instead, it acts as a structural filter, amplifying divergence between well-positioned players and structurally disadvantaged models. Investors should focus on exposure, capability alignment, and delivery model resilience as the primary drivers of relative performance.

KEY IN-DEPTH COMPANY REPORTS

- [SAP: Why SAP should lead the AI supply chain modernization wave](#)
- [SAP: Enterprise AI meets mid-market ERP reality](#)
- [SAP: AI policy pivot - Defensive move, high stakes](#)
- [Capgemini: Riding the supply chain AI supercycle](#)
- [Capgemini: An "AI transformer"](#)
- [Sage: Navigating the AI transition in mid-market ERP](#)
- [Nemetschek: Can Nemetschek turn AI headwinds into stronger moats?](#)
- [Indra: Best Idea 2026 - Defense-led, AI-enabled: The re-rating continues. Outperform](#)
- [Indra: Indra Space - A European champion in the making](#)

SAP: WHY SAP SHOULD LEAD THE AI SUPPLY CHAIN MODERNIZATION WAVE

AI-driven supply chain modernization is emerging as SAP's next structural growth engine - and the market is under-appreciating both the scale and durability of this cycle. Consensus frames SAP's upside primarily around ERP cloud migration; we argue the incremental value resides in supply chain (SCM), where AI, orchestration, and network monetization materially expand the opportunity. Our analysis introduces a granular view of SCM growth drivers, AI-led moat expansion, and a \$217bn market opportunity. We reiterate Outperform, with incrementally stronger conviction on SAP's medium-term cloud and margin trajectory.

AI is turning SAP's supply chain into a structural moat-expansion engine. SAP's SCM stack benefits from deep integration with S/4 ERP, large-scale operational data, and embedded workflows - advantages that become more valuable as AI is deployed across planning, execution, and orchestration. Unlike standalone vendors, SAP can embed AI horizontally (via Business AI/Joule) and vertically across modules, reinforcing switching costs and process lock-in. The bull case is that AI increases SAP's pricing power and differentiation; the bear case is that innovation pace in planning and orchestration remains vulnerable to best-of-breed competitors.

A multi-year upgrade cycle anchored in S/4 migration underpins visible SCM growth. With c.47% of ECC customers yet to migrate, S/4 transitions create natural refresh points for supply chain modules and AI-enabled capabilities, driving attach and upsell. SCM already represents c.25% of software revenue and is outgrowing ERP, supported by cloud transitions, new modules, and broader functional adoption. The bull case is a long-duration, embedded demand cycle with high visibility; the bear case is execution risk if migration timelines slip or customers delay full cloud conversion.

New monetization vectors materially expand SAP's revenue pool. Beyond core modules, SAP is layering high-value capabilities - digital twins, orchestration, and AI-driven analytics - while monetizing its \$6tn Business Network through benchmarking, risk scoring, and ESG insights. These create recurring, high-margin revenue streams tied to data scale and network effects. The bull case is a transition toward platform- and data-driven monetization; the bear case is that AI capabilities commoditize faster than pricing can adapt, compressing incremental returns.

Margins should prove resilient despite higher AI intensity. While AI increases compute costs, SAP benefits from partner-led implementations, reusable R&D across the platform, and low customer acquisition costs driven by its ERP-installed base. SCM is a high-synergy adjacency, allowing revenue growth without material dilution. The bull case is operating leverage as AI and platform reuse scale; the bear case is near-term margin pressure if pricing or cost discipline lags rising compute intensity.

Investment conclusion: SAP is best positioned to lead the AI-driven SCM supercycle. We reiterate Outperform and see SCM as a key driver of cloud ARR acceleration and long-term margin resilience. Incrementally, our analysis strengthens conviction that SAP's combination of installed base, integrated platform, and AI-enabled data/network effects positions it as a primary beneficiary of one of the largest enterprise software upgrade cycles of the decade.

SAP: ENTERPRISE AI MEETS MID-MARKET ERP REALITY

SAP's mid-market ERP strategy is coherent but increasingly contested as AI reshapes the segment, and this note assesses whether execution can convert a \$233bn opportunity into durable value. Consensus assumes SAP's AI scale and S/4 cloud momentum will translate into sustained share gains; our analysis challenges this by highlighting structural frictions in portfolio complexity, partner delivery, and mid-market fit. Drawing on a detailed bottom-up assessment of product architecture, AI positioning, and go-to-market dynamics, our conclusion is unchanged: we reiterate Outperform, but conviction hinges more explicitly on execution over the next 12-24 months.

The core incremental insight is that mid-market ERP is structurally attractive - but unforgiving on economics and execution. Our analysis shows the segment combines high-growth AI tailwinds with stringent buyer requirements around speed, predictability, and cost. While SAP benefits from deep process capability and compliance strength, these advantages matter less if deployment remains complex. The key tension is clear: enterprise-grade functionality must be delivered with mid-market simplicity. Incrementally, we highlight that AI is likely to expand value pools (automation, pricing potential, retention), but only if paired with streamlined implementation - otherwise it becomes a cost headwind rather than a differentiator.

Portfolio coherence emerges as a second, underappreciated risk to growth durability. SAP's three-product mid-market stack (Business One, ByDesign, S/4 Public via GROW) can function as a powerful "grow-up" funnel - but equally risks fragmentation. Our work suggests segmentation remains blurred, especially in the 50-500 employee band, where product overlap and roadmap ambiguity may deter new customers and increase churn at upgrade points. The recent de-emphasis of ByDesign reinforces this tension: while rational from a capital allocation standpoint, it raises execution risk around migration and customer confidence, potentially undermining lifetime value capture.

AI and BTP are strategically central but not yet proven as a mid-market moat. SAP's differentiation lies in process-aware, compliance-grade AI embedded in workflows, delivered through a unified platform. However, our comparative assessment indicates that while SAP scores highly on AI depth and ecosystem, it lags on mid-market relevance, where simplicity and time-to-value dominate. Competitors offering "good enough" AI with faster deployment may neutralize SAP's advantage. The incremental takeaway is that AI's role is binary: either it drives ARPU expansion and lock-in, or it compresses returns if treated as table stakes.

Execution risk in the partner-led model remains the binding constraint on outcomes. SAP's reliance on partners enables scale but introduces variability in cost, speed, and customer experience. Despite progress in template-driven delivery (GROW), evidence suggests partner incentives and customization demands often reintroduce enterprise-style complexity. This directly impacts competitiveness versus Oracle NetSuite and Microsoft Dynamics, which are structurally optimized for mid-market deployment. Incrementally, we see execution - not product capability - as the key determinant of whether SAP can penetrate beyond its SAP-adjacent customer base.

We reiterate Outperform, but the investment case is increasingly execution-dependent. Upside remains anchored in cloud + AI-driven earnings growth, S/4 adoption, and BTP monetization. However, our analysis strengthens the view that mid-market is a "show-me" story: success requires consistent simplification, clear portfolio segmentation, and faster time-to-value. If achieved, SAP can unlock a scalable growth and margin engine; if not, mid-market risks becoming strategically necessary but economically second-tier.

SAP: AI POLICY PIVOT - DEFENSIVE MOVE, HIGH STAKES

SAP's AI policy pivot marks a decisive shift from openness to control, reshaping the ERP value chain at a time when the market questions software vendors' ability to capture AI economics. Investors should read this as consensus still assumes SAP will benefit from AI structurally, but with rising concern that external tools could disintermediate the ERP layer. Our incremental analysis leverages proprietary DSAG survey data showing most production AI use cases today run on non-SAP stacks, reframing the policy as defensive rather than demand-led. We reiterate Outperform, with conviction intact but acknowledging higher execution risk and a more binary AI outcome path.

SAP's new API policy is best understood as a strategic assertion of control over the ERP "control plane." The update materially restricts third-party AI agents and forces interactions through SAP-controlled architectures (BTP, Business AI, Joule). This effectively creates "Indirect Access 2.0" for the AI era, making all AI-driven transactions observable and billable. The incremental insight is that SAP is not just protecting data integrity, but repositioning ERP as the central orchestrator of AI workflows rather than a passive data layer—supporting long-term pricing power and moat durability.

Customer behavior suggests the move is defensive, not demand-led. DSAG survey data shows that while 43% of customers have implemented AI, production deployments are predominantly built on non-SAP solutions. This implies SAP is reacting to a loss of share of wallet in enterprise AI rather than leading adoption. The implication is twofold: (i) SAP's AI competitiveness today is still in question (innovation speed, developer appeal, TCO), and (ii) policy enforcement is being used to redirect ecosystem activity back toward SAP-native tools, increasing execution and adoption risk in the near term.

The upside case hinges on monetization via Digital Access and ARPU expansion. By routing high-frequency, machine-driven AI interactions through SAP-governed channels, the company can transform AI from a potential disintermediation threat into a usage-based revenue engine. This embeds AI within SAP's ERP flywheel, reinforcing platform stickiness and supporting long-term revenue visibility. Additionally, tighter control over data, semantic models, and system performance reduces the risk of ERP commoditization and strengthens the clean-core transition strategy.

Execution risk is the key swing factor, particularly around product readiness and customer friction. SAP is constraining third-party innovation before its own AI stack is clearly best-in-class, raising the risk of slowed adoption, higher perceived lock-in, and pushback on Digital Access pricing. There is also a risk of increased friction with partners and developers, potentially dampening ecosystem innovation. In this context, the policy raises the bar for SAP to deliver compelling AI capabilities quickly, as control without competitiveness could backfire.

Bottom line: strategically coherent but tactically demanding, with asymmetric outcomes. We reiterate Outperform, as reclaiming control of the ERP layer is critical to long-term value capture in AI. However, the policy introduces a tighter execution window and amplifies near-term risks, shifting the investment case toward a higher-stakes, execution-driven re-rating path.

CAPGEMINI: RIDING THE SUPPLY CHAIN AI SUPERCYCLE

Capgemini's exposure to an emerging AI-driven supply chain supercycle is underappreciated and underpins our reiterated Outperform. While the market broadly views Capgemini as a low-growth IT services name (c.5–6% growth), we show that supply chain - already c.€1bn of revenues - is accelerating at 9–10% with structurally higher margins. Our incremental analysis combines proprietary sizing, margin estimates (15–16%), and WNS integration impacts to demonstrate a credible path to faster growth, mix-driven margin expansion, and nearly 100% upside to our €208 PT, strengthening conviction and extending our investment horizon.

Supply chain is becoming the primary structural growth engine. Our analysis shows supply chain has shifted from a peripheral capability to a core growth vector, driven by enterprise-wide AI-led modernization of planning, logistics, and procurement. We estimate supply-chain-related revenues at c.€1bn in 2025 (c.4.5% of group) growing 9-10% annually - well above the 5-6% group baseline. This is supported by structural demand drivers (AI-first planning, digital twins, SAP S/4 migrations) and positions the division to expand to c.6.5% of revenues over time, sustaining above-average growth.

Margin expansion is driven by mix shift toward Intelligent Operations. Supply chain is not only a growth lever but also margin-accretive. We estimate operating margins of 15-16%, supported by automation, IP reuse, and multi-year outcome-based contracts. As Capgemini shifts from project-based work to AI-enabled managed services ("run-side"), it benefits from higher automation density and offshore leverage. Our modeling suggests this mix shift alone can contribute c.40-50bps to group operating margins over 3-5 years, offsetting near-term AI investment drag.

WNS materially accelerates both growth and quality of revenues. The integration of WNS adds c.€1.2bn of high-margin digital BPS (business process services) and analytics capabilities, particularly in logistics and supply-chain analytics. This strengthens Capgemini's position in "Intelligent Operations," enabling recurring, outcome-based engagements with higher ACVs, deeper client penetration, and improved revenue visibility. Crucially, this shifts the business model toward more defensible, sticky contracts with embedded IP - enhancing both growth durability and margin resilience versus traditional system integration.

Competitive positioning is differentiated at the intersection of AI, operations, and engineering. Capgemini occupies a "sweet spot" between strategy-led peers (Accenture, Deloitte) and offshore execution players (TCS, Infosys). Its edge lies in combining engineering depth (Altran), strong SAP/Oracle ecosystems, and AI-enabled run capabilities at scale. This enables end-to-end transformation plus operations delivery - particularly in complex, manufacturing-heavy supply chains - supporting larger deal sizes and long-term client lock-in in a market increasingly converging toward "transform-and-run" models.

Outperform reiterated; supply chain strengthens the investment case materially. We see Capgemini as well positioned to capture a multi-year AI-led supply chain modernization cycle, with faster growth (high single digit) and gradual margin expansion (c.50bps) increasingly visible. At c.8x P/E, the stock does not reflect this improving mix or earnings durability. Our analysis reinforces conviction in both the magnitude and sustainability of upside, with supply chain and Intelligent Operations forming the core drivers of long-term re-rating.

CAPGEMINI: AN "AI TRANSFORMER"

AI disruption fears are overstated for Capgemini, in our view, creating a compelling opportunity to own a structurally advantaged "AI transformer" at depressed valuations. This report is timely ahead of FY25 results and FY26 guidance, where investor concern - focused on pricing pressure and business model obsolescence - is near peak. Our differentiated contribution is a proprietary framework quantifying AI disruption risk by service line, combined with new evidence on Capgemini's AI bookings momentum and execution. We reiterate our Outperform rating as our analysis strengthens conviction that AI is more opportunity than threat.

A proprietary framework positions Capgemini as an "AI transformer" with asymmetric risk/reward. We introduce a hybrid quantitative-qualitative methodology assessing AI disruption across two axes: automatability and defensibility (client relationships, switching costs). This allows a revenue-weighted risk score across service lines. Capgemini screens as highly exposed to AI in *how* work is delivered (notably in application and infrastructure services, and business process services), yet structurally protected by strong client intimacy (multi-year relationships with >80% of customers) and complex system integration. The implication is clear: disruption is operational (pricing, delivery model), not existential. The key debate shifts from "if AI hurts" to "how well Capgemini executes."

Execution on AI is already visible through bookings momentum and capability build-out. Our analysis highlights tangible progress: AI bookings reached c.€1.2bn over 9M25 (c.8% of total), with a rising trajectory into 3Q25. Capgemini has scaled its AI workforce to >35k specialists and trained c.150k employees, alongside building proprietary tools (e.g., RAISE, GenAI Factory) and partnerships with hyperscalers and frontier model providers. Compared with peers, Capgemini appears broadly on track operationally, even if less transparent on AI revenues. This supports the bull case that early industrialization of AI-enabled delivery can protect pricing and drive share gains.

WNS acquisition materially accelerates the shift to Services-as-Software. WNS provides a critical lever in Business Process Services - the segment most exposed to AI-driven automation and pricing pressure. We see this not as a risk but as a transformation opportunity: c.76% of WNS revenues are currently human-led, offering significant scope for AI-driven conversion to software-like models. Capgemini can combine consulting, AI, and domain expertise to target large-scale transformation deals, repositioning itself vs both consulting peers (end-to-end offering) and legacy BPS providers (tech deficit). This reinforces the strategic pivot toward recurring, scalable, AI-powered revenue streams.

Near-term earnings pressure reflects transition costs, not structural weakness. We lower FY26 estimates (revenue -2%, EPS -8%) primarily on FX headwinds and higher restructuring charges (€250m) to accelerate the AI transition. Importantly, operating margin expectations remain intact (13.7%), signaling resilience despite reinvestment. Consensus is broadly aligned on growth and margins, but we believe the market underestimates the medium-term volume uplift potential from AI (analogous to the offshore wave). Guidance - particularly exit growth and AI disclosures - will be key catalysts to re-anchor expectations.

Valuation disconnect underpins conviction despite volatility risk. Capgemini trades at a material discount to historical levels and peers following a >20% YTD decline, largely driven by AI concerns. We view this as excessive relative to fundamentals and execution progress. While near-term volatility may persist into 1H26, especially around guidance, our analysis reinforces that Capgemini is well positioned to capture AI-driven demand and transition its model. We reiterate our Outperform rating, maintaining a constructive medium-term view.

SAGE: NAVIGATING THE AI TRANSITION IN MID-MARKET ERP

AI - not cloud migration - is now the decisive swing factor for Sage, and the market underestimates the execution risk embedded in that transition. This report matters because consensus broadly assumes a smooth evolution from migration-led growth to AI-driven compounding; we test that assumption. Our incremental analysis combines a structured assessment of AI monetization (retention, ARPU, cost-to-serve) with a proprietary framework on post-migration adoption curves, highlighting a stepwise - not linear - AI uptake. We reiterate Market-Perform: while AI strengthens the long-term story, it does not yet incrementally raise conviction or shorten the proof timeline.

AI adoption will be delayed but more monetizable than the market assumes. Migration to cloud ERP has largely de-risked Sage's base but reshapes the AI curve: adoption is muted during transition and accelerates post-stabilisation. The key insight is that migration does not dilute AI value - it defers it. This creates a two-step adoption curve, where investors focusing on near-term AI metrics risk underestimating the medium-term monetization inflection. Bull case: stronger ARPU and retention as AI is layered onto clean, standardized data. Bear case: timing mismatch between expectations and realized benefits.

Sage's agent-based, workflow-embedded AI is differentiated - but not necessarily superior. Unlike peers positioning AI as horizontal copilots, Sage embeds task-specific agents directly into finance workflows (close, AP/AR, forecasting). This prioritizes trust, auditability and ROI - key mid-market buying criteria - and could deepen switching costs by embedding intelligence in daily processes. The advantage is higher adoption probability; the risk is limited differentiation as competitors replicate similar capabilities, turning AI into table stakes rather than pricing power.

Mid-market ERP structure supports AI economics, but competition creates a "squeezed middle." The segment combines structured data, repeatable workflows and labor constraints - ideal for AI-driven automation and outcome-based pricing. However, Sage sits between fast-moving SMB players (Intuit, Xero) pushing up-market and scaled enterprise vendors (SAP, Oracle, Microsoft) moving down. The incremental insight is that AI reinforces both threats: SMB players improve capability while enterprise suites reduce complexity. Sage's defence - finance specialization and "good-enough" deployment - must translate into measurable ROI to sustain positioning.

Margins hinge on whether AI is a lever or a tax. The central debate is not growth acceleration but economic translation. AI can support margins via lower cost-to-serve and productivity gains, but this assumes disciplined investment and pricing. If AI becomes a competitive necessity, rising R&D and compute costs could cap margins despite stable growth. Early signals to watch include AI attach rates, pricing tiering and evidence of net retention uplift.

Investment conclusion: balanced risk/reward with execution-dependent upside. Market-Perform reflects a symmetric setup: AI can extend Sage's compounding profile if it demonstrably lifts retention, ARPU and margins, but current valuation already discounts that outcome. The stock requires proof that AI enhances returns - not just relevance - before conviction can increase.

NEMETSCHEK: CAN NEMETSCHEK TURN AI HEADWINDS INTO STRONGER MOATS?

AI will reshape - not erode - Nemetschek's moat, but execution will determine whether disruption turns into upside. This note addresses investor concerns following the stock's sharp de-rating on AI fears, contrasting market skepticism around software defensibility with our more balanced view that incumbents can strengthen positions. Our incremental analysis applies a proprietary AI disruption framework (automatability vs. defensibility) across AEC segments and Nemetschek's portfolio. We maintain a Market-Perform rating: AI risks are real at the low end, but strong BIM/CAE moats and early AI rollout support medium-term resilience, without yet justifying re-rating.

AI disruption is high but uneven across AEC - and incumbents can benefit. Our framework shows AEC software sits in a high-automatability, high-defensibility quadrant, implying meaningful workflow automation but persistent platform moats. Design, simulation, and documentation are increasingly automated (e.g., generative design, clash detection), compressing manual effort. However, BIM and CAE platforms remain deeply embedded systems of record with strong switching costs, driven by ecosystem lock-in, data gravity, and workflow integration. The key implication: AI is more likely to shift value pools (pricing, mix, upsell) than drive wholesale disruption—favouring incumbents that adapt quickly.

Nemetschek is an “AI transformer”: risk concentrated in low-end, resilience in core. Our portfolio-level scoring (automatability c.6.8; defensibility c.7.7) highlights asymmetric exposure. CAD/2D and entry-level tools face clear pressure from AI-driven automation and substitution, while BIM and structural CAE retain stronger barriers through integration, standards, and accumulated user expertise. This reinforces a bifurcation: downside risk to seat counts, add-ons, and pricing at the low end, versus durability—and potential upgrading—of high-value design environments. The framework's key insight is that Nemetschek's franchise risk is limited; disruption is more about mix and margin than structural share loss.

Execution and monetization will determine whether AI becomes a tailwind. Nemetschek is already embedding AI (assistants, visualization, model queries) across products, with early monetization largely seat-based but evolving toward premium add-ons and potentially outcome-based pricing. Near-term revenue impact remains negligible, but AI should accelerate adoption of higher-value packages and workflows. The strategic opportunity is to position BIM platforms as the central hub for AI-driven design and collaboration; the key risk is under-investment or slower execution, which could allow AI-native entrants to capture early-stage workflows and dilute long-term engagement.

Valuation reflects partial de-risking but remains demanding. Despite the recent correction, Nemetschek continues to trade at a premium to peers on most metrics, suggesting the market still prices in superior growth and margins while discounting AI uncertainty. This supports a balanced stance: fundamentals remain solid, but upside requires clearer evidence that AI enhances monetization rather than compresses it.

Maintain Market-Perform: balanced risk-reward with execution as catalyst. Our analysis reinforces conviction in the resilience of Nemetschek's core franchise but highlights offsetting risks in product mix and monetization. We see AI as more likely to strengthen competitive positioning over time, but near-term uncertainty and premium valuation justify a neutral stance until execution translates into tangible growth acceleration.

INDRA: BEST IDEA 2Q26 - DEFENSE-LED, AI-ENABLED: THE RE-RATING CONTINUES. OUTPERFORM.

Indra is entering a structural inflection point that the market continues to underappreciate, and we reiterate our Outperform rating with unchanged €69 PT as conviction strengthens. This report matters because investor skepticism - focused on governance, legacy IT exposure, and FCAS risk - continues to anchor valuation, creating a disconnect with fundamentals. Our incremental analysis highlights proprietary decomposition of backlog quality, AI monetization pathways (IndraMind), and segment-level valuation asymmetry (SOTP vs DCF). We argue consensus underestimates durability of defense-led growth and AI-driven margin expansion, positioning the stock for a re-rating with limited downside.

Defense scale and backlog visibility underpin a structurally higher-quality earnings profile. Indra's transformation into a defense-led platform is now quantifiable rather than narrative-driven. Defense backlog reached €11.3bn (+101% YoY), with order intake ~€8.2bn, providing multi-year visibility and anchoring revenue growth. The key incremental insight is mix evolution: Indra is moving upstream into platform orchestration (not just electronics), especially in land systems, improving both margins and political relevance. Bull case: faster backlog conversion and margin expansion as system content rises. Bear case: execution delays (e.g., FCAS) defer but do not destroy value, as sovereign funding and non-FCAS programs sustain revenues.

Air Traffic Management (ATM) provides infrastructure-like resilience with AI upside. ATM represents a differentiated asset often overlooked in valuation. With €1.1bn backlog (+27% YoY) and long-dated contracts, the business exhibits low cyclicity and high visibility. Our incremental view is that AI is additive, not disruptive: optimization and safety enhancements increase switching costs and reinforce regulated, infrastructure-like characteristics. This supports a higher multiple versus IT services peers. Bull case: investors re-rate ATM as infrastructure. Bear case: steady performance but insufficient to trigger group-level re-rating alone.

Minsait and AI reposition Indra from IT services to system orchestrator. The debate around AI disruption is central: consensus fears commoditization of outsourcing. Our analysis suggests the opposite—AI accelerates mix shift toward higher-value integration and platform services. IndraMind is targeting ~€700m revenue by 2028 (vs €300m in 2025), implying ~25–30% CAGR. Incrementally, we highlight that AI benefits differ across segments but are net positive at group level, shifting the business model away from labor arbitrage. Bear case: margin pressure in low-end services slows expansion; bull case: multiple re-rating as Minsait sheds “cheap IT” perception.

Valuation asymmetry remains compelling, with downside protected and upside underwritten by re-rating potential. The stock trades at a discount to defense peers despite similar growth and visibility, reflecting legacy perceptions and governance concerns. Our SOTP (€61) embeds conservative assumptions and effectively anchors downside, while DCF (€69) captures upside from defense growth and AI-driven margins. This gap is the key incremental insight: valuation already discounts bear-case frictions but not bull-case optionality.

We reiterate Outperform with increased confidence in the timing of re-rating catalysts. With 2Q26 and the Capital Markets Day likely to clarify backlog conversion, defense execution, and AI monetization, we see a clear path for perception to converge with fundamentals. The risk-reward remains asymmetric, with limited downside and multiple levers for upside realization.

INDRA: INDRA SPACE - A EUROPEAN CHAMPION IN THE MAKING

Indra's re-rating increasingly hinges on a single question: can Indra Space shift the group from a services/IT multiple to a sovereign defense-space valuation. This report matters as the market today largely discounts Space optionality, valuing it on near-term Hispasat/Hisdesat earnings despite accelerating European defense and sovereign connectivity tailwinds. Our incremental analysis combines a detailed SOTP framework and scenario-based valuation of Space, highlighting its asymmetric contribution to group value (potentially rising from ~6–7% to ~15%+). We reiterate Outperform (PT €69), with strengthening conviction that execution in Space can drive multiple expansion over the medium term.

Indra Space is evolving into a vertically integrated platform with underappreciated strategic scarcity. The division is transitioning from a component supplier to an end-to-end operator spanning upstream manufacturing (Deimos), midstream ownership (Hispasat/Hisdesat), and downstream services. This integration is rare in Europe's fragmented market and positions Indra closer to a sovereign infrastructure provider than a telecom operator. The key incremental insight is that this structural shift changes the quality of revenues—toward long-cycle, government-backed contracts—yet the market still applies blended IT services multiples, under-reflecting this mix upgrade.

Structural demand tailwinds are stronger, more policy-driven, and longer duration than typically priced. Indra Space is directly levered to European sovereignty initiatives (e.g., IRIS² ~€10bn program) and rising NATO/EU demand for secure communications. Unlike commercial satcom cycles, this demand is anchored in defense budgets, resilience requirements, and autonomy from US providers. Our analysis highlights that Hisdesat sits at the intersection of national, EU, and NATO funding streams, creating dual-layer demand visibility. This supports a structurally higher quality growth profile than implied by current valuations.

Valuation asymmetry is driven by scenario dispersion rather than near-term earnings. Space contributes only ~7% of revenue and ~5% of EBIT today, limiting its immediate financial impact. However, our scenario analysis shows a wide valuation range: from <5% of group EV in a bear case to 15–25% in a bull case, depending on execution and program capture. Crucially, SOTP highlights that the market still values Indra as a blended entity, while differentiated multiples (Defense ~17x, Space ~14x EV/EBIT) imply upside toward €72.5/sh vs €69 DCF. The disconnect lies in unrecognized optionality rather than aggressive forecasts.

Execution risk remains the central bear argument and timing constraint. Integration complexity (Hispasat, Hisdesat, Deimos), capital intensity, and dependence on EU programs introduce uncertainty in returns and cash flow timing. Additionally, Indra remains subscale versus US leaders and exposed to legacy GEO pressure. These factors explain why the market discounts Space today. Our view is that while risks are real, they are increasingly balanced by improving visibility, backlog, and policy support, suggesting risk-reward skew is favorable.

Bottom line: Indra Space is a high-optionality catalyst that increasingly dictates valuation direction. We reiterate Outperform, as successful execution should progressively shift perception from IT services to sovereign defense-tech platform. This strengthens conviction in multiple expansion rather than purely earnings-driven upside.

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